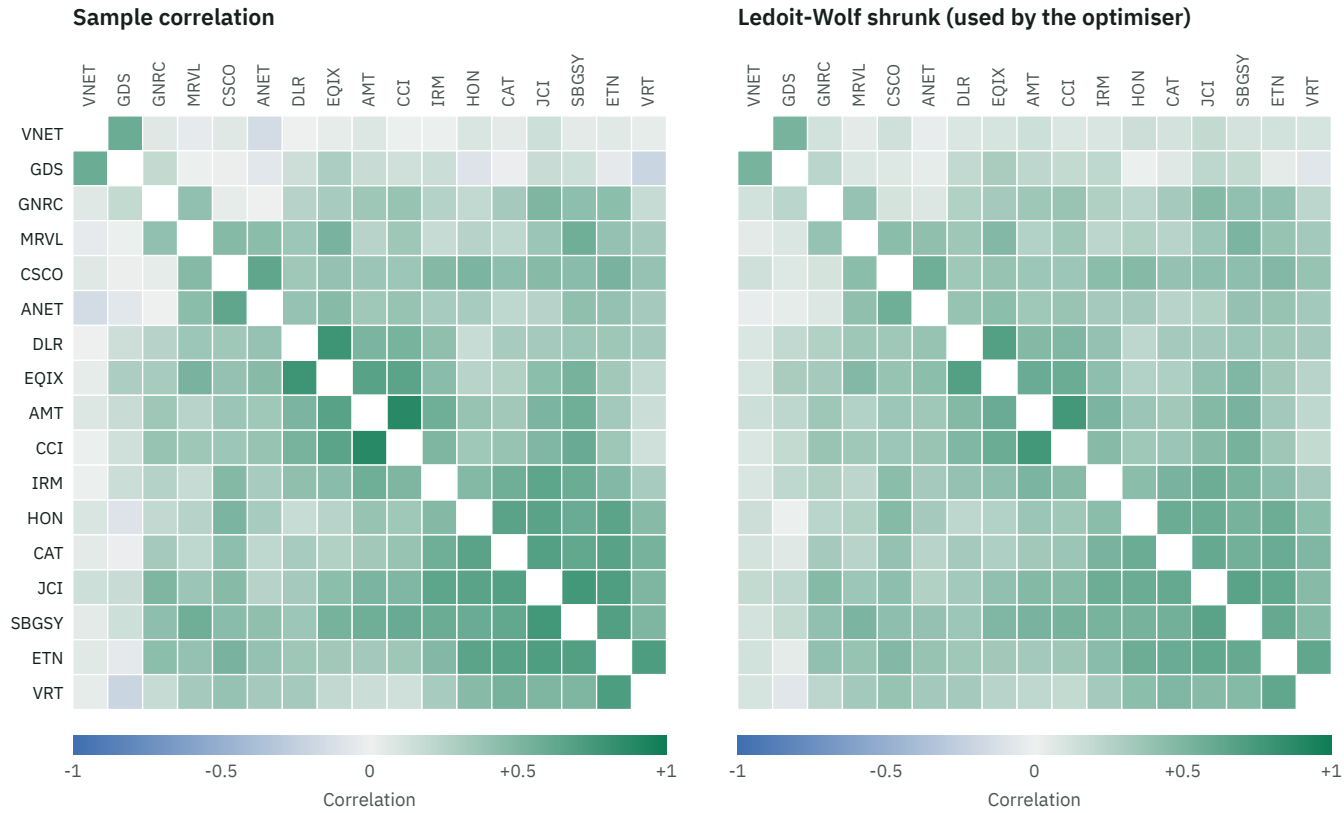
EXHIBIT B2 | APPENDIX

What shrinkage does to the correlation matrix

Every pair moves 24% of the way to the average correlation of 0.35. Monthly returns, Mar 2020 to Dec 2024, clustered order.



Source: Yahoo Finance total-return prices, Mar 2020 to Dec 2024; author's calculations.